

Second Pass Review Protocol

Month-end flux commentary drafted with AI assistance. Version 1.1, effective 13 September 2026. Owner: Khaled Alkurd.

Control objective

No commentary drafted with AI assistance is released until a second pass has tied every figure in it to the ledger and a named reviewer has signed the two judgment questions: is the driver named in the sentence supported by a document on file, and does that driver belong to the period the sentence covers.

Scope

The control covers the monthly flux memo written against the close variance schedule. It reads every sentence in the memo and every account on the schedule, including the accounts the memo never mentions. Commentary is owed where a movement passes both legs of the threshold, more than \$25,000 and at least 10 percent of the prior balance, both rather than either.

The reviewer runs it after the preparer releases the draft and before the controller's review, on the day the memo is due to the controller. Audit workpapers, tax positions, statutory reporting and forecast commentary sit outside it.

Procedure

1. Run the four mechanical checks over the ledger and the memo as drafted: arithmetic, every figure recomputed against the ledger; direction, every stated movement tested against the sign of the balance change; threshold, every account that passes both legs listed; silence, every account that passes both legs and carries no sentence. One row per sentence and one row per silent account.
2. Clear or escalate each fail. It goes back to the preparer with the recomputed figure, a corrected sentence re-enters at step 1, and a figure the preparer cannot support becomes an ask to the controller carried on the same row.
3. Work the reviewer queue, which holds what the checks could not settle: failures, needs-review sentences, not-checked sentences, unmatched sentences, skipped source rows, silent lines and accounts carrying two or more sentences. A sentence checked within scope is not in the queue, and checked within scope means its figures tie to the ledger rather than that the sentence is true. A status is never promoted: a failed or needs-review sentence stays until the preparer answers it, and the corrected sentence re-enters at step 1.
4. Answer the driver question and the timing question from the facts on file, naming in the row the document relied on or the ask it raises. Answer them on the sentences checked within scope, and on a needs-review sentence once it is resolved. A sentence still unresolved carries an ask to the controller instead of an answer, and a silent line carries the question of what the movement was.
5. Sign. Enter the reviewer name and the date on every row, release the log with the memo version to the controller, and record the controller sign-off on the same file.

Evidence retained

Four things for each close: the results table the checks produced; the reviewer's answers on driver and timing with the document each rests on; the signed log carrying the reviewer name, the date and the controller sign-off; and the memo version released, beside the log so a reader can see which words the signature covers. Retained with the close file.

Roles

Role	What the person does	Who may not hold it
Preparer	Prompts the assistant, edits the draft, answers a fail with a corrected figure or a document	Anyone signing the second pass on this memo
Second-pass reviewer	Runs the checks, works the queue, answers the two judgment questions, signs the log	The preparer, and anyone who prompted the assistant for this memo
Controller	Reads the signed log with the memo, resolves every open ask, signs the release	The reviewer, because the sign-off is not delegated

What this control does not do

It does not judge whether a business reason is a good one, only whether the sentence ties to the ledger and rests on a document on file. It does not replace the controller's review.

Change log

Every release adds one row, approved by Khaled Alkurd. A version used on a close is never edited.

Version	What changed, and why
1.1, 13 September 2026	Steps 3 and 4 rewritten to the checker's current contract, because version 1.0 called the reviewer queue the sentences that passed all four checks, the opposite of what it holds.
1.0, 12 September 2026	First issue of the four mechanical checks, the two judgment questions, the evidence log and the roles, written because the drafting tools hand a reviewer commentary with nothing to check it against.